EUROPEAN COMMISSION
DG Competition

Case M.10560 - SIKA / MBCC GROUP

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval
Date: 20/04/2023

EUROPEAN COMMISSION

Brussels, 20.4.2023
C(2023) 2775 final

PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

Sika AG
Zugerstrasse 50
6341 Baar
Switzerland

Dear Sir or Madam,

Subject: Case M.10560 – SIKA / MBCC GROUP
Approval of Cinven as purchaser of the Divestment Business following your letter of 22 March 2023 and the Trustee's opinion of 24 March 2023

1. FACTS AND PROCEDURE

(1) By decision of 8 February 2023 (the 'Decision') based on Article 6(1)(b) in connection with Article 6(2) of Council Regulation No 139/2004[1], the Commission declared the operation by which Sika AG ('Sika' or the 'Notifying Party', Switzerland) acquires within the meaning of Article 3(1)(b) of the Merger Regulation sole control over MBCC Group ('MBCC' or the 'Target', Germany), compatible with the internal market, subject to conditions and obligations (the 'Commitments'). Sika and MBCC are together referred to as the 'Parties'.

(2) In particular, the Commitments provide that Sika divest the worldwide chemical admixture business ('EBA')[2] of MBCC as well as the other construction materials

[1] OJ L 24, 29.1.2004, p. 1 (the "Merger Regulation"). With effect from 1 December 2009, the Treaty on the Functioning of the European Union ("TFEU") has introduced certain changes, such as the replacement of "Community" by "Union" and "common market" by "internal market". The terminology of the TFEU will be used throughout this decision.

[2] The worldwide EBA business included MBCC's chemical admixture business in the EEA, Australia, Canada, New Zealand, Switzerland, the UK and US, including global research and development

business ('EBC') of MBCC in Australia and New Zealand (the 'Divestment Business').

(3) Within that scope, the Divestment Business would include the following:[3][4]

(a) All shares in all legal entities (including Construction Research & Technology GmbH);

(b) All production sites;

(c) All warehouses;

(d) All offices;

(e) All R&D facilities (including the Treviso (Italy) and Trostberg (Germany) R&D sites) such as laboratories, laboratory devices, measuring and testing equipment, computer hardware and software;

(f) all (other) tangible assets, such as production and packaging machinery, storage tanks, mixing tanks, tools and equipment, health and safety equipment, electronic hardware, and on-site vehicles;

(g) all licences, permits and authorisations;

(h) all contracts, agreements, leases, commitments and understandings, such as customer contracts and cooperation agreements, raw material supply contracts, power contracts, building and office leases;

(i) all customer, credit and other records related to the customer base;

(j) all (other) intangible assets, such as all patent families, trademarks, knowhow, pipeline products, BoMs, and internet domains;

(k) all personnel, including but not limited to global R&D and IP personnel, sales and marketing, procurement, operations and global support functions;

(l) all Key Personnel, as listed in Schedule B of the Commitments;

(m) the arrangements for the supply with the following products or services by Sika or Affiliated Undertakings at cost (i.e. applying current MBCC intracompany pricing policies) for a transitional period of up to 12 or 24 months (as specified below) after the closing of the sale of the Divestment Business :

– Finance;

– HR;

– IT;

– selected underground construction ("UGC") products;

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facilities. EBA business in other parts of the world was carved out and remained with the Retained Business, see main decision M.10560 – Sika / MBCC.

3 As described in Schedule A of the Commitments.

4 All capitalised terms used in this decision shall have the meaning as set out in the Decision or in the Commitments, as the case may be, unless otherwise specified.

– selected EBC powder and powder intermediate products;

– miscellaneous MVA[5] and EBC products, including Ucrete, MSeal, MFlow, MEmaco NAX, MTop.

(4) By letter of […], Sika proposed Seventh Cinven Fund […] ('Cinven', United Kingdom), for approval by the Commission as purchaser of the Divestment Business (the 'Reasoned Proposal') and submitted the […] Agreement formally executed by Sika on […], which attached a Share Purchase Agreement in agreed form and its exhibits, including ancillary agreements (the 'Proposed Agreements').

(5) On […] 2023, Evelyn Partners (the 'Trustee') submitted an assessment of Cinven's suitability as a purchaser and, in particular, concluded that Cinven fulfils the purchaser requirements specified in section D of the Commitments attached to the Decision ('Reasoned Opinion'). In its Reasoned Opinion, the Trustee also concluded that, on the basis of the Proposed Agreements, the Divestment Business would be sold in a manner consistent with the Commitments.

2. ASSESSMENT OF THE PROPOSAL

2.1. Legal framework

(6) Pursuant to paragraph 19 of the Commitments, the Commission has to verify that the purchaser fulfils the purchaser criteria and that the Divestment Business is being sold in a manner consistent with the Commitments.

(7) According to paragraph 17 of the Commitments, in its assessment of the proposed purchaser, the Commission should ensure in particular that:

(a) The Purchaser shall be independent of and unconnected to Sika and its Affiliated Undertakings (this being assessed having regard to the situation following the divestiture);

(b) The Purchaser shall have the financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors;

(c) The Purchaser must not be active in downstream industries into which chemical admixtures are supplied, and in particular, must not be active downstream in the production and supply of cement and/or concrete;

[5] MVA products are polymers used in the production of chemical admixtures.

(d) The Purchaser shall have a proven track record of viably operating businesses over the long-term and a proven incentive to continue investing in the R&D activities of the Divestment Business globally;

(e) The acquisition of the Divestment Business by the Purchaser must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the Purchaser must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Business.

2.2. Description of the proposed purchaser

(8) Cinven is a private equity firm engaged in the provision of investment management and investment advisory services to a number of investment funds. [Confidential information relating to Cinven's funds and management structure.]

(9) The companies in the Cinven funds' portfolio of investments are active in a wide range of subsectors, mainly business services, consumer, financial services, healthcare, industrials, and technology, media and telecommunications.

2.3. Purchaser criteria

2.3.1. Independence from the Parties

(10) According to Section D, paragraph 17(a) of the Commitments, the Purchaser must be independent from and unconnected to Sika and its Affiliated Undertakings.

(11) According to the information provided by Sika[6] and by the Trustee,[7] there are no cross-shareholdings between the Parties and Cinven. In particular, Cinven is not controlled by Sika or MBCC Group and has no common directors with either Sika or MBCC nor is it involved in any joint venture with Sika, MBCC or any of its Affiliated Undertakings. Cinven also does not have any equity interest, common significant shareholders, shared directors, or continuing financial assistance with the Parties.

(12) On the basis of the information available to the Commission, Cinven can therefore be considered as independent from, and unconnected to, Sika in terms of ownerships and investments.

(13) Furthermore, other than the Transitional Services Agreements provided for in the Commitments, Sika and MBCC's retained business[8] have two commercial

6 Notifying Party's Reasoned Proposal, section 2.3.a.

7 Monitoring Trustee's Reasoned Opinion, section 4.

8 MBCC's retained business corresponds to the activities acquired by Sika in the context of the transaction cleared by the Commission in decision M.10560 – Sika / MBCC conditionally upon the sale of the Divestment Business.

relationships with Cinven. In 2022, Sika and MBCC's retained business sourced certain raw materials (in particular, cross-linker for Sika and biocides for the retained business) from two portfolio companies jointly controlled by Cinven and third parties.

(14) However, those pre-existing commercial relationships should not impede Cinven's independence from Sika as they are not material. In fact, Cinven portfolio companies' sales to Sika or MBCC's retained business account for less than […]% of the relevant Cinven portfolio companies' sales in 2022.[9] In addition, Sika's purchases from Cinven are negligible (approximately CHF […] in total in 2022) as they account on average for only about […]% (and at most […]%) of Sika's total raw material expenditure for the final applications (such as adhesives, flooring, membranes, packaging, and roofing) in which those products are used. As regards the MBCC retained business, purchases from Cinven portfolio companies only amounted to EUR […] worldwide in 2022.[10]

(15) On the basis of the information provided by Sika and taking into account the Reasoned Opinion submitted by the Trustee, the Commission therefore concludes that Cinven is, and will continue to be, independent from, and unconnected to, Sika and its Affiliated Undertakings.

2.3.2. Financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitor

(16) Pursuant to Section D, paragraphs 17(b) of the Commitments, the Purchaser shall have the financial resources, proven expertise and incentive to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

(17) **First**, as regards financial resources, the Trustee confirmed that, at the most recent reporting date (June 2022), Cinven […] had EUR […] available for drawdown. In addition, based on the financial information provided by Cinven to the Trustee, Cinven is currently investing in […] with EUR […] of committed capital, of which circa […]% remains available for the acquisition of the Divestment Business. The Trustee therefore considers that between EUR […] and EUR […] is available to Cinven for the Divestment Business.[11]

(18) Given that Cinven's final offer reflects an acquisition price of EUR […] on a cash and debt-free basis, Cinven will have sufficient financial capabilities to fund the acquisition of the Divestment Business. This conclusion is also supported by the Trustee.[12]

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9 Cinven's response to request for information dated 5 April 2023.
10 Sika's response to request for information I-10, question 1.
11 Reasoned Opinion, section 5.2.5 to 5.2.7.
12 Reasoned Opinion, section 5.2.26.

(19) As regards future development plans, Cinven endeavours to maintain [confidential information on Cinven's investment strategy]..[13]

(20) Moreover, Cinven signed final documentation[14] for the setting up of […] of EUR […] to cover ongoing capital needs of the Divestment Business post-acquisition, and in particular future ordinary liquidity needs of the Divestment Business, without putting excess burden on its cash flow margin or additional financial constraints. Cinven has [confidential information on the financing of the transaction], which would be put in place post-closing for future liquidity needs. [Confidential information on the financing of the transaction.][15]

(21) **Second**, as regards proven expertise and incentive to maintain and develop the Divestment Business, as also developed in sections 2.3.4 and 2.3.5 below, Cinven is a leading European private equity firm which was founded in 1977 with a strategic focus on industrial sectors,[16] where it has a proven track record of maintaining and developing businesses with […]% of Cinven portfolio companies having benefited from revenue growth under Cinven's ownership.[17]

(22) On the basis of the information provided by Sika and taking into account the Reasoned Opinion submitted by the Trustee, the Commission therefore considers that Cinven has the financial resources to maintain and develop the Divestment Business as a viable and active competitive force in competition with the Parties and other competitors.

2.3.3. No activities downstream of the production of chemical admixtures

(23) According to Section D, paragraph 17(c) of the Commitments, the Purchaser of the Divestment Business shall not be active in downstream industries into which chemical admixtures are supplied and in particular not in the production and supply of cement and/or concrete.

(24) Sika submits that neither Cinven nor any of its portfolio companies is active in downstream industries into which chemical admixtures are supplied. In particular, Cinven is not active in the production and supply of cement and/or concrete.[18] This was confirmed by the Trustee.[19]

(25) On the basis of the information provided by Sika and taking into account the Reasoned Opinion submitted by the Trustee, the Commission therefore considers that Cinven is not active in downstream industries into which chemical admixtures are supplied.

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13 Cinven's Business Plan of 13 January 2023, section 8.7.
14 Response to request for information I-10, Annex 1.
15 Reasoned Opinion, section 5.2.21 to 5.2.24.
16 Cinven presentation to the EC, slide 2.
17 Cinven presentation to the EC, slide 17.
18 Reasoned Proposal, section 49.
19 Reasoned Opinion, section 5.4.32.

2.3.4. Proven track record of viably operating businesses over the long-term

(26) Pursuant to Section D, paragraphs 17(d) of the Commitments, the Purchaser shall have a proven track record of viably operating businesses over the long term.

(27) **First**, Cinven is a leading European private equity firm which was founded in 1977 with a strategic focus on industrial sectors,[20] where it has a proven track record of viably operating businesses over the long term.

(28) Cinven's average holding period is […] years, with […]% of Cinven portfolio companies having benefited from revenue growth under Cinven's ownership.[21] In addition, no Cinven portfolio company acquired in the past 15 years has gone into bankruptcy.[22]

(29) **Second**, Cinven also has a track record of viably operating businesses over the long-term in chemical admixtures business, through its prior investment in Chryso, one of the leading players in concrete admixtures globally.[23] Cinven's ownership of Chryso lasted 4 years. Under Cinven's ownership, Chryso grew significantly: its revenues grew by […]% (from EUR […] of revenue to EUR […]), through a mix of organic and inorganic growth.[24] Cinven also increased investment in R&D with R&D expenses growing by […]% with total cumulated spend of more than EUR […] under its ownership.[25] In addition, Cinven increased investments in industrial manufacturing of Chryso (capex […]% in the 12 months ending June 2021) despite Covid lockdowns during that period.[26]

(30) In addition, Cinven's funds have made multiple successful manufacturing investments in the construction market in the EEA.[27]

(31) Based on the above, the Trustee considers that Cinven has a proven track record of viably operating businesses over the long term.[28]

(32) On the basis of the information provided by Sika and taking into account the Reasoned Opinion submitted by the Trustee, the Commission considers that Cinven has a proven track record of viably operating businesses over the long-term.

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20 Cinven presentation to the EC, slide 2.
21 Cinven presentation to the EC, slide 17.
22 Cinven presentation to the EC, slide 25.
23 Cinven's Business Plan of 13 January 2023, section 4.1.
24 Cinven's Business Plan of 13 January 2023, section 4.3.
25 Cinven's Business Plan of 13 January 2023, section 4.3.
26 Cinven's Business Plan of 13 January 2023, section 4.3
27 Investments include Ahlsell, a distributor of construction products in the Nordic region, Tractel, a specialist provider of working-at-height products, SLV, a provider of residential and technical lighting products and TK Elevator, leading international provider of elevator technology.
28 Reasoned Opinion, section 5.5.4.

2.3.5. Proven incentive to continue investing in the R&D activities of the Divestment Business globally

(33) Pursuant to Section D, paragraphs 17(d) of the Commitments, the Purchaser shall have a proven incentive to continue investing in the R&D activities of the Divestment Business globally.

(34) **First**, according to its Business Plan, Cinven plans to increase investments in R&D,[29] [details on R&D investments].[30] Cinven's business plan assumes continued investment in R&D and product innovation, and R&D expenses are assumed to rise by EUR […] from EUR […] to EUR […] from 2022 to 2027.[31] In the past, Cinven invested heavily in R&D capabilities of its portfolio companies, for instance in Amadeus in which Cinven invested more than EUR […] in research and development with annual investment in product development increasing by more than […]%, or Cinven's investment in Envirotrainer, with spendings in research and developments […] under Cinven's ownership.[32]

(35) Cinven is committed to grow the Divestment Business over the long term globally, as well as improve margins and profitability. This is because Cinven believes that the concrete admixtures market will grow over the long term, and ahead of the growth in the general construction market, as it is a key enabler of the decarbonisation of the construction sector.[33]

(36) Cinven would therefore have an incentive to invest into the Divestment Business even in the event of a downturns in the construction market driven by normal macroeconomic cycles. Cinven considers the Divestment Business, as the global market leader in concrete admixtures, to be well placed to grow over the longer term and supporting the business through cyclical downturns will enable it to be a successful investment, as Cinven will achieve a higher price when selling it.[34] Cinven plans to ensure the Divestment Business has adequate liquidity and balance sheet strength in case of a prolonged or severe market contraction.[35] [Details on the financing of the transaction.] Besides the initial extra costs, Cinven expects the Divestment Business to generate sufficient cash to cover future CapEx.[36]

(37) **Second**, Cinven also aims to [confidential information on Cinven's business strategy].[37][38][39]

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29 Cinven's Business Plan of 13 January 2023, section 10.3.
30 Cinven's presentation to the EC, slide 17.
31 Cinven's Business Plan of 13 January 2023, section 10.3.
32 Cinven's presentation to the EC, slide 16.
33 Cinven's Business Plan of 13 January 2023, section 8.2.
34 Cinven's Business Plan of 13 January 2023, section 8.2.
35 Cinven's Business Plan of 13 January 2023, section 9.6.
36 Cinven's reply to RFI I-10.
37 […].
38 […].
39 […].

(38) This is confirmed by the Trustee who has not identified any issues affecting Cinven's incentive to develop the Divestment Business as a viable and competitive force.[40]

(39) On the basis of the information provided by Sika and taking into account the Reasoned Opinion submitted by the Trustee, the Commission therefore considers that Cinven has a proven incentive to continue investing in the R&D activities of the Divestment Business globally.

2.3.6. Absence of prima facie competition concerns

(40) According to Section D, paragraph 17I of the Commitments, the acquisition of the Divestment Business by the Purchaser must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(41) There are no horizontal overlaps or vertical relationships between the activities of any of Cinven's portfolio companies and the Divestment Business given that Cinven does not hold any company that is active in the market for chemical admixtures or any other market where the Divestment Business is active, nor upstream or downstream of such markets.

(42) The Commission therefore considers that the acquisition of the Divestment Business by Cinven would not be likely to create *prima facie* competition concerns (nor *a fortiori* give rise to a risk that the implementation of the Commission will be delayed).[41] In particular, it can be reasonably expected that Cinven will obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Business.

(43) This *prima facie* assessment is based on the information available to the Commission for the purpose of this decision and does not prejudge the competition assessment of the acquisition of the Divestment Business by Cinven by a competent competition authority under applicable merger control rules. According to the notifying party, the acquisition of the Divestment Business will have to be notified in the US and Canada.[42]

2.3.7. Conclusion on the Purchaser Criteria

(44) In light of the above considerations and taking into account the Reasoned Opinion submitted by the Trustee, the Commission concludes that Cinven meets the Purchaser Criteria set out in paragraph 17 of the Commitments.

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40 Reasoned Opinion, section 5.4.23.

41 See also Commission's clearance decision under the simplified procedure, case M.11099 – Cinven / MBCC Divestment Business.

42 Global Regulatory Timeline from 16.3.2023.

2.4. Sale in a manner consistent with the Commitments

(45) The Proposed Agreements consist of a […] and a Share Purchase Agreement in agreed form and its exhibits, including ancillary agreements.

(46) The Trustee considers that the assets that are listed as included and excluded in the scope of the business to be sold under the Proposed Agreements are in line with the provisions of the Commitments.[43] In particular, the Proposed Agreements cover the worldwide EBA business of MBCC Group and the EBC business of MBCC Group in Australia and New Zealand, including all relevant productions sites (including warehouses and offices), all R&D facilities (including the Treviso and Trostberg R&D sites), all other tangible and intangible assets envisaged in the Commitments, as well as all personnel including key personnel.

(47) The Trustee therefore considers that the full perimeter as set out in the Commitments will be divested pursuant to the Proposed Agreements.[44]

(48) In addition, the Trustee has not identified any issue in the Proposed Agreements which would hinder the Purchaser's ability to maintain and grow the Divestment Business as a competitive force or would be inconsistent with the Commitments.[45]

(49) The Trustee also considers that the Transitional Service Agreements,[46] to be entered into by Sika and the Divestment Business in relation to IT, Finance, HR, fleet management, leasing etc., do not raise concerns.[47]

(50) In light of the above considerations and taking into account the information provided by Sika and the Reasoned Opinion submitted by the Trustee, the Commission therefore considers that the Proposed Agreements are consistent with the Commitments and that, accordingly, the Divestment Business is being sold to Cinven in a manner consistent with the Commitments.

3. CONCLUSION

(51) On the basis of the above assessment, the Commission approves Cinven as a suitable purchaser for the above-mentioned reasons.

(52) On the basis of the Proposed Agreements, the Commission further concludes that the Divestment Business is being sold in a manner consistent with the Commitments.

(53) This decision only constitutes approval of the proposed purchaser identified herein and of the Proposed Agreement. This decision does not constitute a confirmation that Sika has complied with its Commitments.

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43 Reasoned Opinion, section 6.2.
44 Reasoned Opinion, section 6.2.80.
45 Reasoned Opinion, section 6.3.
46 As prescribed in Section A of the Commitments.
47 Reasoned Opinion, section 6.5.12.

(54) This decision is based on Section D of the Commitments attached to the Commission Decision of 8 February 2023.

For the Commission

(Signed)

Olivier GUERSENT
Director-General